Type MS · Calculate the current ratio

Answer 1 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **fringe benefits**. • Additional benefits over and above the normal wage or salary **(1)**	**(1)**

Question Number	Outline **one** way *Irsi Chocolatier* could keep customer loyalty. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Irsi Chocolatier* could keep customer loyalty, plus 1 further mark for linking it to the context of the business. • *Irsi Chocolatier* could promote their chocolates **(1)** by introducing a new range of flavours **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the current ratio. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 26 000/14 852 **(1)** = 1.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the current ratio

Answer 1 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Break-even charts make the assumption that all of the new chocolate lollipops will be sold • The chart shows the costs for the chocolate lollipops as a straight line not taking into account other costs that may occur along the way **AO3** • This could lead to false data as it does not take into account any wasted or damaged stock not sold • This could lead to overspending if *Irsi Chocolatier* have not taken into account other costs or if customers do not like the new product	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 1 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering two options: **Option 1:** train the new employee on-the-job **Option 2:** train the new employee off-the-job. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Offering on-the-job training allows the new employee to see current chocolate making techniques • **Option 2** – Offering off-the-job training allows the new employee to learn new techniques of producing chocolates from lecturers at a college **AO3** • **Option 1** – This may increase the levels of production as the employee will be producing whilst training allowing *Irsi Chocolatier* to meet the increased demand • **Option 2** – Therefore the new employee could bring new ideas into the business making it more efficient producing more in less time **AO4** • **Option 1** – However, as *Irsi Chocolatier* only has 3 employees there may not be someone who can dedicate the time to train the new employee to the standard required • **Option 2** – However, this can be costly as the employee will have to attend an external course rather than learn on the job	**(9)**

Level	Mark	Descriptor

Type MS · Calculate the current ratio

Answer 1 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 1 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**

Type MS · Calculate the current ratio

Answer 2 of 9 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 4 · find part a in this mark scheme extract

4 (a)	**AO2 - 2 marks** 120 000/90 000 **(1)** = 1.33 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the current ratio

Answer 2 of 9 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 4 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 - 3 marks AO3 - 3 marks** **AO2** • *Lavender* will know the amount of internal finance they have available • The money does not have to be borrowed/negotiated. **AO3** • By using internal sources of finance *Lavender* has the money straight away in its restaurants and does not have to go through a lengthy process to get the money. • *Lavender* will not have to pay the money back so does not need to worry about any monthly repayments or interest associated with external sources of finance.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 2 of 9 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 4 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Social media can be used to gain a wider target market. • E-newsletters can keep customers up to date with new products. **AO2** • *Lavender* could target a particular audience based on their likes of food to advertise directly to. • *Lavender* could get the email addresses of its customers or complete questionnaires. **AO3** • Therefore, using technology in promotion *Lavender* can personalise the information to the customer based on what they have searched for on the internet or what they have purchased previously from the bakery. • Therefore, they can reach out to current customers and encourage them to repeat purchase or to try out its other outlets or different recipes. **AO4** • However, *Lavender* would need to have employees with the necessary technological skills in order to use this as a method of promotion. Some people ignore emails or banners on websites so may not pay attention to the promotion. Also it could be difficult to reach the new customers in the new areas as they do not know who they are yet. • However, a lot of time might be spent using technology but some people may prefer traditional methods such as leaflets inside the bakery. When handing these out to customers directly you are giving more of a personalised service and you get the chance to speak to them face to face to gain feedback.	**(12)**

Type MS · Calculate the current ratio

Answer 2 of 9 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	A02 - 2 marks 300 000/220 000 (1) = 1.36 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to NOF of using personal savings to expand its product range Indicative content	Mark
4 (b)	AO2 – 3 marks AO3 – 3 marks AO2 • NOF can start making ice cream immediately as they have the money. • Amanda and Ken will not have to pay any money back to their bank. AO3 • By using personal savings NOF does not have to go through a lengthy process of taking out a loan. • As there is no loan there is no need to be concerned about monthly repayments/interest and any profit gained can be used to put back into the business.	**(6)**

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Evaluate the factors that NOF might consider when measuring the success of its farm shop. You should use the information provided as well as your own knowledge of business Indicative content	Mark
4 (c)	AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO1 • The profit produced by the farm shop • The growth of its product range. AO2 • NOF will be able to see how much profit the farm shop is making compared to the overnight accommodation. • NOF is looking at expanding its product range which shows it is currently successful in the products it already sells. AO3 • By comparing how much profit is made in the farm shop then NOF can spend money improving the areas that need developing. • This shows success of the business as there is a demand for the products it produces and it is willing to take a risk by expanding that range. AO4 • However, an increase in profit is dependent upon many other factors outside the control of NOF such as the weather as this could impact heavily on how much the farm is producing or how many people want to come and visit the farm shop. • However, there is no guarantee that this growth will be a success at a time when supermarkets sell the same products cheaper than NOF and other farms can afford to do.	**(12)**

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 3 of 9 · Question 4 part a · 2 marks

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Type MS · Calculate the current ratio

Answer 4 of 9 · Question 3 part c · 2 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of inventory • Inventory is the goods a business has for sale **(1)**	**(1)**

Question Number	Outline **one** method that *TBTS* might use to respond to greater competition. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a method *TBTS* may use to stand out against increased competition, plus 1 further mark for linking it to the context of the question • *TBTS* could increase its advertising **(1)** to show how environmentally friendly they are compared to competitors **(1)** **NB** Do not accept a method that is not in the context of *TBTS* **Accept any other appropriate response**	**(2)**

Question Number	Calculate the current ratio for 2021. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 216 000/36 000 **(1)** 6 **(1)**	Award 1 mark for correctly substituting numbers into formula Award full marks for correct numerical answer without working	**(2)**

Type MS · Calculate the current ratio

Answer 4 of 9 · Question 3 part c · 2 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the importance of *TBTS* motivating its employees. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *TBTS* has motivated employees it can better meet the needs of customers who want to buy toys • If *TBTS* does not have motivated employees it could lead to lower sales of its toys **AO3** • The employees will be happier working there and will be more willing to answer any customer queries • Less motivated employees can lead to a reduction in productivity making it harder for *TBTS* to achieve any goals they may have	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 4 of 9 · Question 3 part c · 2 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** hand out questionnaires to customers that visit the shops **Option 2:** hold focus group meetings with parents and their children. Justify which **one** of these two options *TBTS* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using questionnaires *TBTS* can get feedback directly from customers who buy the toys on behalf of children • **Option 2** – *TBTS* can use the focus groups to observe children playing with the new range of toys **AO3** • **Option 1** – *TBTS* can get detailed feedback from the customers to see what elements are important to them when they make a decision to buy a particular toy • **Option 2** – Employees from *TBTS* can recall how the children play with the toys and their reaction **AO4** • **Option 1** – However, as *TBTS* have shops in busy locations like airports people may not have the time to fill in the questionnaires or may rush it therefore not giving them accurate feedback to help them with the launch of the new range of toys • **Option 2** – However, the responses from the children may not be valid as they are in a new setting and may find other things more interesting than the toys but this does not mean they would not play with the toys at home	**(9)**

Type MS · Calculate the current ratio

Answer 4 of 9 · Question 3 part c · 2 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 4 of 9 · Question 3 part c · 2 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate the total cost to a VIP member of buying 17 dinosaur toys. **Answer**	**Additional guidance**	**Mark**

Type MS · Calculate the current ratio

Answer 5 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 34 946 ÷ 12 763 **(1)** = 2.74 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Increasing the use of robotics reduces human error in the production of Princess Leia toys • Robotics increases the number of pineapple pencil holders that can be made **AO3** • This means that there will be fewer toys rejected as there will be fewer faults in the manufacture of them • Production rate increases which reduces the manufacturing costs •	**(6)**

Type MS · Calculate the current ratio

Answer 5 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 5 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate how *LEGO* has maintained a competitive advantage in the making of toys and games. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Customers purchase *LEGO* toys and games because they are well known and have been trading for a long time • The toys made are of a good quality and should last for a long time **AO2** • *LEGO* has achieved 'Toy of the Century' twice meaning that people can rely on the products made • *LEGO* keeps up to date making toys to correspond to new films that are introduced such as Harry Potter **AO3** • As customers want to purchase toys and games that they know are reliable and well made • Fans of Harry Potter will want to purchase the new *LEGO* toys to play with **AO4** • However, there is no guarantee that customers will buy some of the products because they are expensive and may want a cheaper product • However, if the film is not a success, then the toys may not sell and *LEGO* will have wasted the time and investment in producing the toys	**(12)**

Type MS · Calculate the current ratio

Answer 5 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 5 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **autonomy.** • Giving workers the authority to make choices and decisions about the way they work **(1)**	**(1)**

Question Number	Outline **one** reason why *M&M* might locate a new factory near to a labour force. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *M&M* might locate its factories near to a labour force, plus 1 further mark for linking it to the context. • To have access to a wide pool of labour when the car plant opens **(1)** that pool to include production line workers and skilled technicians **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(2)**

Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Calculate to 2 decimal places the current ratio for 2020. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 3 400/900 **(1)** = 3.78 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* would want to compare its business with other vehicle manufacturers. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *M&M* can compare its sales of cars with other businesses such as the Ford Motor Company • If Fiat introduce different models of tractors *M&M* may consider changing the design of their own tractors **AO3** • If *M&M*'s figures are not as good as Ford Motor Company, they may try to improve sales by offering discounts or other incentives to customers • There is no guarantee that if *M&M* introduces a new tractor that it will compete with Fiat's tractors	**(6)**

Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** bonus **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By giving employees the opportunity to move to different jobs on or off the production line from manufacturing vehicle parts to help designing vehicle parts keeps them involved in all aspects of production • **Option 2** – A bonus payment if car manufacturing targets are met makes employees feel valued and they would want to continue working for *M&M* in the car road-testing section **AO3** • **Option 1** – Employees are more likely to remain with *M&M* than look for another job, as they are continually gaining new experiences and skills • **Option 2** – A bonus encourages employees to work harder to ensure they gain their bonus **AO4** • **Option 1** – However, employees may not be interested in job rotation as it may not increase their wages • **Option 2** – However, employees may not be interested in bonus payments if their bonus is based on everyone who works in the factory, as some employees may not work as hard as others	**(9)**

Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Calculate the current ratio

Answer 6 of 9 · Question 3 part c · 2 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to 2 decimal places, the cost of the tractor in pounds sterling (GBP). **Answer**	Additional guidance	Mark

Type MS · Calculate the current ratio

Answer 7 of 9 · Question 3 part c · 2 marks

2024 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **multinationals** • A business that operates in more than one country **(1)**	**(1)**

Q. No.	Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *TUI* offers employees working in its travel agencies, a commission based on the number of holidays they sell plus 1 further mark for linking it to the context of the business. • An employee will work harder to sell *TUI*'s cruises and extensions to holidays **(1)** because the more they sell the more commission they will receive **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate, to **two** decimal places, the current ratio for *TUI* for 2022. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 7 758 152 ÷ 5 654 468 **(1)** = 1.37 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Calculate the current ratio

Answer 7 of 9 · Question 3 part c · 2 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Q. No.	Analyse the effect on *TUI* customers of an increase in interest rates. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may have less to spend on holidays and cruises if interest rates increase • Some customers on holiday may not book additional trips or excursions offered by *TUI* **AO3** • This could lead to a reduction in customers booking holidays or going to travel agencies of *TUI* competitors • This could lead to *TUI* having to reduce or cancel trips, which reduces its income	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Calculate the current ratio

Answer 7 of 9 · Question 3 part c · 2 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Q. No.	**Option 1:** using the internet **Option 2:** asking customers to complete a questionnaire. Justify which **one** of these two options *TUI* should use. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *TUI* could use the internet to view a wide variety of customers comments made about their experiences and service received whilst on holiday in Greece • **Option 2** – Customers can take their time completing the form giving details of the experiences/services they received whilst taking part in a day trip around Rome **AO3** • **Option 1** – By using the internet it does reduce the time spent researching and is less costly than other methods available • **Option 2 –** Thus giving *TUI* detailed information of their trip and possible ways to improve it **AO4** • **Option 1** – However, *TUI* could spend a great deal of time looking at information which is not relevant to them or is out of date, or even places they do not offer holidays to • **Option 2** – However, not all customers may want to complete the questionnaires so there may be less data to use	**(9)**

Type MS · Calculate the current ratio

Answer 7 of 9 · Question 3 part c · 2 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 7 of 9 · Question 3 part c · 2 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the percentage increase in the cost of the employees from 2021 to 2022. **Answer**	Additional Guidance	Mark

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**AO2 - 2 marks** 1.76 **(2)** 1 mark for workings if correct answer not given 9 566/5 447 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*. **Indicative content**		**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If the reception staff at the hotel are helpful and accommodating to the guests, they are more likely to return • If the hotel room has all the amenities that guests require such as tea and coffee facilities **AO3** • Which could increase the number of bookings and the potential profit for *Premier Inn* • Guests may tell friends and family about the excellent facilities and service they received whilst staying at the *Premier Inn*		**(6)**

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Evaluate why a business such as *Premier Inn* would only consider profit to measure its success. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The more profit that is made from each *Premier Inn* will show how successful they are • Profit signifies if the total revenue of the business exceeds the total costs • **AO2** • *Premier Inn* will be able to see how much profit each hotel is making and compare it to other hotels • *Premier Inn* is planning to open more hotels in different parts of the world and will be able to see if these new hotels are making a profit **AO3** • By comparing the profit from each of the *Premier Inn*'s it can use the profit to develop or increase the size of certain hotels • By planning to open more hotels this shows how successful the business is with guests who return to stay **AO4** • However, an increase in profit is dependent upon many factors outside the control of *Premier Inn*, such as travel restrictions that stop people from travelling • However, there are other ways to measure business success such as market share and customer satisfaction, which might be as equally important as financial measures	**(12)**

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the current ratio

Answer 8 of 9 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

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Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Calculate the current ratio

Answer 9 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	Mark